

Distribution channels | Why every channel converges on shallow bay

None of the five channels on the previous page are actually competing on volume — they're competing on proximity and divisibility, and 20–100K SF is the format that satisfies both.

● E-commerce fulfillment

Large-scale primary fulfillment does sit in big-box, but returns processing, regional sortation, and the long tail of smaller/niche sellers don't generate enough volume to fill 200K+ SF — and same-day/next-day promises push them toward space near the population they're shipping to, not toward the cheapest big parcel two hours away.

● Wholesale & 3PL

Regional 3PLs serve a defined local client base and territory. Their footprint scales with that territory's demand, not with national throughput — so they need space sized to a region, not a continent, and they need it divisible so it can flex up or down as clients turn over.

● Last-mile logistics

This one is definitional: last-mile economics are won by minimizing drive time to the end customer, which means many small nodes near dense population beats one large node far away. A single 500K SF facility in Meadowlands wouldn't out-perform five 60K SF depots spread across it — density of locations matters more than size of any one location.

● Light manufacturing & assembly

Kitting, packaging, light assembly of import components — these are small production operations, not heavy industry. They need modest space for a production line plus staging, want to be near their labor pool and near the port/rail input they're processing, and simply don't have the throughput to justify bulk-scale space.

● Trade services & contractors

HVAC, plumbing, electrical, millwork. These are local service businesses by nature — they need a yard/warehouse to stage materials and park trucks in each market they serve, not one central depot. Real estate need is capped by "how much can one crew's territory support," which is small.

The structural reason

It isn't just that these tenants *want* to be small — the supply of anything bigger is structurally rationed in these infill submarkets. Under-construction inventory runs ~4x higher for big-box (2.6% of stock) than for shallow bay (0.6%) because land cost and zoning cap new small-format supply near dense population.

Scarce land, shared appetite. Five very different tenant types — none of them competing with each other directly — end up bidding for the same limited shallow-bay stock. That's the common denominator from the previous page, and the reason the diagram converges all five into one hero node instead of five separate outcomes.

VOLUME VS. PROXIMITY

Not who moves the most. **Who has to be closest.**

Scarce, divisible, well-located space beats a bigger box every time for these five tenant types — which is exactly the corridor Faropoint underwrites. The final page turns that logic into Faropoint's own house view and 2026 acquisition record.